BUSINESS ANALYTICS PORTFOLIO PROJECT | CREDIT RISK & LENDING DYNAMICS

Bridging the Credit Gap: Indian MSME Credit Analytics

A data-backed view of credit growth, borrower concentration, lender economics, asset quality, clusters, and cashflow underwriting.

DATA CUT	FY2025 + Jun 2026 + Sep/Oct 2026 formalisation & AA updates
SOURCES	SIDBI • CRIF High Mark • RBI • Ministry of MSME • Department of Financial Services

PORTFOLIO THEME

Better credit allocation, not just more credit

Four signals explain where the MSME credit opportunity sits

₹47.4L Cr

MSMEx portfolio

CRIF, Jun 2026; +12.5% YoY

84.4%

Micro share of active loans

High-volume entry point; POS share is 34.5%

41.9%

Private-bank POS share

Private banks lead portfolio value

₹30L Cr

Addressable credit gap

SIDBI estimate; timely credit access remains a challenge

THE STORY IN ONE FRAME

- **1. Volume is micro-led.** Micro enterprises represent 84.4% of active loan accounts but only 34.5% of POS - a high-volume, low-ticket market.
- **2. Value is scaling up.** Small and Medium exposure businesses grew 20.3% and 21.3% YoY, while Micro POS contracted 0.5%.
- **3. Lender roles are distinct.** Private banks lead POS share; PSU banks lead active-loan volume, implying different acquisition and ticket-size economics.
- **4. Risk is improving:** PAR 31-90 and PAR 91-180 both fell by Jun 2026; the opportunity is selective expansion with better underwriting data.

Sources: CRIF High Mark MSMEx Spotlight (Sep 2026, data as of Jun 2026); SIDBI Annual Report 2024-25.

MSMEs are large enough to matter - and formal enough to be increasingly credit-visible

~1/3

GDP contribution

SIDBI describes MSMEs as contributing around a third of GDP.

~1/2

Export contribution

SIDBI says the sector accounts for nearly half of India's exports.

₹31.3L Cr

Bank credit to MSMEs

SCB credit outstanding in FY2025; +14.8% YoY.

9.79 Cr

Udyam + UAP registrations

Government dashboard snapshot, Oct 7 2026.

WHY THIS CHANGES CREDIT ANALYTICS

01 Formal identity

Udyam / UAP increases business visibility.

02 Financial trail

GST, bank, and digital payment data create observable cashflows.

03 Underwrite risk

Move from collateral-only decisions toward cashflow-informed risk.

Sources: SIDBI Annual Report 2024-25; Ministry of MSME dashboard (accessed Oct 7 2026).

The opportunity is not a lack of demand - it is a gap in formal, timely credit access

₹30L Cr

estimated addressable MSME credit gap

SIDBI notes that timely and adequate credit access remains a key challenge, with informal borrowing continuing in the micro segment.

Strong formal credit growth - but gap remains

SCB MSME credit outstanding (FY2025)

₹31.3L Cr +14.8% YoY

- **Micro remains underserved.** SIDBI survey work notes informal borrowing continues in the micro segment.
- **Demand is not the bottleneck.** The analytical problem is matching formal credit to cashflow, sector, and risk profile.

PORTFOLIO IMPLICATION **Build underwriting that increases approval confidence without weakening portfolio quality.**

Sources: SIDBI Annual Report 2024-25 / MSME Outlook; ₹30L Cr is an addressable-gap estimate and is not directly comparable with SCB outstanding.

MSME credit has a sharp volume-value split across borrower exposure tiers

POS share

34.5% Micro

41.2% Small

24.3% Medium

Micro = 84.4% of active loans

but only 34.5% of POS

Portfolio outstanding mix



Active loan account mix



ANALYTIC READ

Micro is where account volume sits.

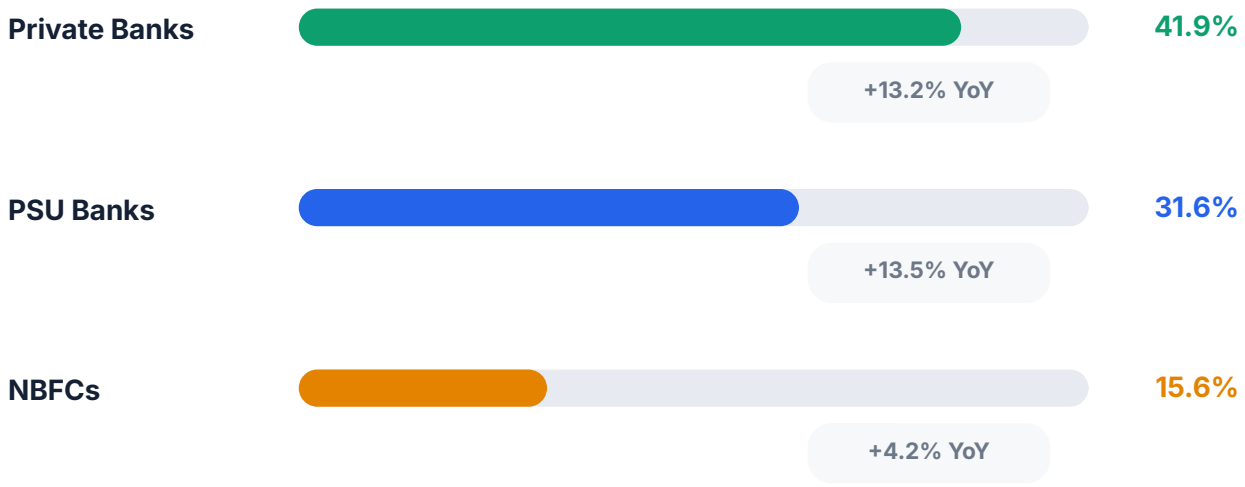
Small + Medium are where portfolio value is scaling faster.

Micro POS growth: -0.5%

Source: CRIF High Mark, MSMEx Spotlight, Sep 2026 (data as of Jun 2026). Exposure definitions: Micro ≤₹2 Cr; Small ₹2-20 Cr; Medium ₹20-100 Cr.

Private banks lead portfolio value; PSU banks lead account volume

Portfolio outstanding share (POS)



Active loan share



WHAT THE SPLIT SAYS

Different lenders win different parts of the funnel.

- **Private banks** — Best positioned for higher-value MSME relationships and scaling POS.
- **PSU banks** — Reach dominates through account volume and entry-level access.
- **NBFCs** — Smaller share, but a distinct role in targeted micro/small credit.

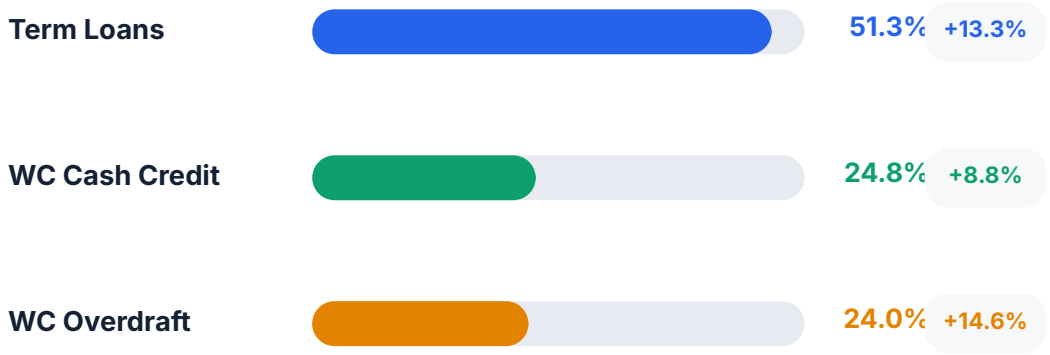
Portfolio strategy: win on fit, not on generic share.

Source: CRIF High Mark, MSMEx Spotlight, Sep 2026 (data as of Jun 2026). "POS" = portfolio outstanding.

Credit demand is strongest where capex and working capital meet real operating activity

PRODUCT MIX

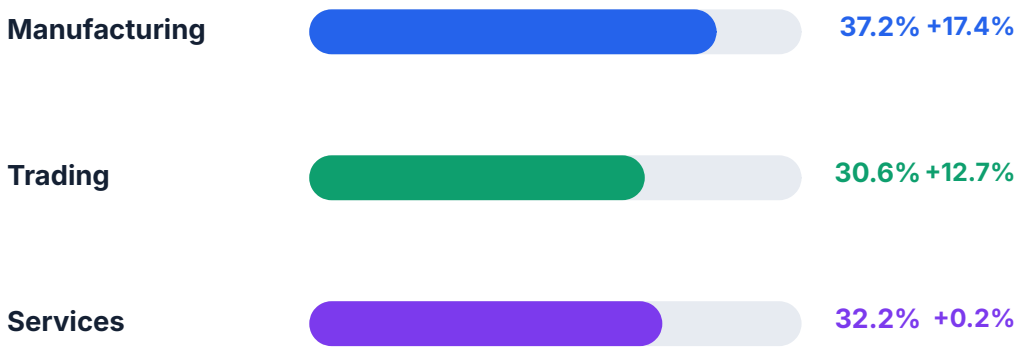
Term loans remain the anchor product



Working-capital overdraft is the fastest-growing product by POS (+14.6% YoY).

INDUSTRY MIX

Manufacturing is the growth engine

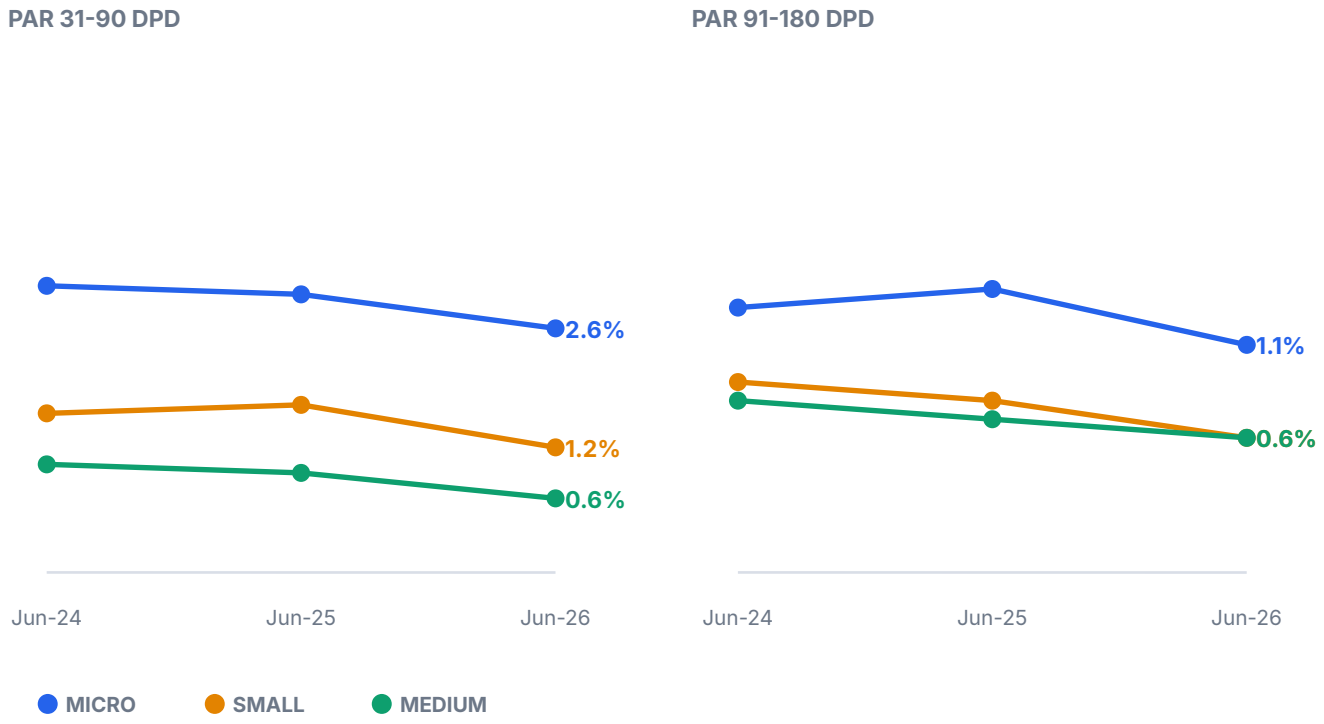


Implication: target sectors and working-capital cycles, not just borrower size.

Source: CRIF High Mark, MSMEx Spotlight, Sep 2026 (data as of Jun 2026).

Asset quality improved into Jun 2026 - supporting selective expansion

Borrower-segment delinquency trend



RISK READ

All core delinquency measures improved by Jun 2026.

Portfolio PAR 31-90	1.6%
Portfolio PAR 91-180	1.4%
Portfolio PAR 180+	5.9%

Lender signal

NBFC PAR 91-180 = 1.7% vs private banks 0.5%.

That is a risk-pricing input, not a reason to avoid the segment.

Source: CRIF High Mark, MSMEx Spotlight, Sep 2026 (data as of Jun 2026). PAR = portfolio at risk by days past due.

Engineering & Machinery is consolidating into dense, higher-performing credit corridors

CLUSTER DENSITY

24 → 47

high-density districts

Districts with >₹1,000 Cr E&M POS, Jun 2023 → Jun 2026.

+96% in 3 years

Cluster credit share

50.9% → 63.5%

Top 5 hubs = 18.7% of industry portfolio.

ASSET QUALITY

Cluster zones perform better

PAR 91-180 | Jun-26



Insight

Concentration creates better local risk context.

Use cluster intelligence to set sourcing, pricing, and monitoring rules.

WHY IT MATTERS

- **Location & risk**
  Industrial corridors can reveal repeatable cashflow, supplier, and payment patterns.
- **Product fit**
  Product, underwriting, and collections should adapt to sector clusters.
- **Best use case**
  Build cluster scorecards using POS, vintage, PAR, lender mix, and industry concentration.

Interview-ready line

"I would build branch and cluster targeting from credit density + risk data."

Source: CRIF High Mark, MSMEx Spotlight, Sep 2026, Engineering & Machinery cluster analysis.

09. UNDERWRITING EVOLUTION

Underwriting is moving from collateral evidence toward consented cashflow evidence

01

Collateral

Balance sheet + property pledge.

02

Formalisation

Udyam / UAP creates a visible business identity.

03

Digital trails

GST + bank + payment flows make cashflow observable.

04

Account Aggregator

Consent-led data sharing enables real-time financial views.

REAL-WORLD EVIDENCE

AA framework: 2.88B accounts enabled; 284.6M linked (31 Mar 2026).

GSTN is a permitted Financial Information Provider; RBI/DFS highlight cashflow-based MSME lending potential.

WHY THIS MATTERS

Faster decisions + richer risk signals + lower paperwork.

Sources: Department of Financial Services, Account Aggregator Framework (Mar 2026); RBI AA guidance; DFS Annual Report 2025-26.

10. STRATEGIC BA RECOMMENDATIONS

Turn the evidence into three lender actions - each with a measurable KPI

01	**Cashflow-first micro loans**	Use GST + bank + bureau signals to expand micro credit where collateral is thin.	KPI **Approval TAT / NTC approval rate**
02	**Cluster-led targeting**	Prioritise dense industry corridors and tailor pricing / collections by local risk.	KPI **POS growth / PAR by cluster**
03	**Risk-based pricing**	Separate lender/segment risk rather than treating MSME as one pool.	KPI **Yield after losses / vintage PAR**

Portfolio principle: expand where growth is strongest AND the risk signal is measurable.

Recommendation logic grounded in CRIF segment/risk data plus RBI/DFS cashflow-lending infrastructure.

The portfolio becomes credible when the analytical method is visible, not just the answer

1 SOURCE

RBI / SIDBI / CRIF / MSME / DFS

2 MODEL

Borrower • Lender • Product • Cluster • Vintage

3 METRICS

POS • Active loans • Growth • PAR • Share

4 DECISION

Targeting • Underwriting • Pricing • Monitoring

ILLUSTRATIVE SQL LOGIC

```
SELECT borrower_segment,
       lender_type,
       SUM(pos) AS pos,
       SUM(active_loans) AS active_loans,
       SUM(par_91_180_pos)
         / NULLIF(SUM(pos), 0) AS par_91_180
FROM msme_credit
GROUP BY borrower_segment, lender_type;
```

Then calculate share, YoY growth, and segment-vs-lender deltas in the BI layer.

POWER BI OUTPUT

Build one semantic model, then slice it three ways.

- **Executive view** — KPI cards + trends + headline insight.
- **Risk view** — PAR by segment / lender / vintage.
- **Growth view** — Cluster + product + borrower targeting.

This slide is a reproducible portfolio method, not a claim that raw CRIF/SIDBI data were queried by SQL in this deck.

12. PORTFOLIO PROOF

What to show in an interview: the answer, the analysis, and the build

01	**Business question**	“Where is MSME credit growing, and where can a lender expand safely?”
02	**Analytical proof**	Charts that demonstrate segment, lender, product, cluster, and risk relationships.
03	**Technical proof**	SQL transformations + Power BI model + calculated measures / drilldowns.
04	**Decision proof**	Three actions tied to evidence and measurable KPIs.

Learning order: Excel/SQL fundamentals → credit metrics → Power BI → business storytelling.

Use the reading list on the next slide to move from domain understanding to reproducible analytics.

READ THIS NEXT

Five sources will teach you the domain faster than five random blogs.

1 **CRIF High Mark - MSMEx Spotlight, Sep 2026**
Use for borrower segments, lender shares, product mix, risk, and clusters.
https://www.crifhighmark.com/media/7561/msme-spotlight-report-september-2026.pdf

2 **SIDBI Annual Report 2024-25 - MSME Outlook**
Use for the ₹30L Cr credit-gap framing, bank credit growth, and MSME macro role.
https://www.sidbi.in/annualreport/AnnualReport202425/msme-outlook.php

3 **Ministry of MSME - Performance Dashboard**
Use for current Udyam/UAP formalisation and state/activity cuts.
https://dashboard.msme.gov.in/

4 **Department of Financial Services - Account Aggregator Framework**
Use for AA mechanics, adoption, GSTN, and consent-led financial data sharing.
https://www.financialservices.gov.in/account-aggregator-framework

5 **RBI - Account Aggregator / MSME digital lending material**
Use for regulatory context and cashflow-based lending logic.
https://www.rbi.org.in/

Rule for future work: every headline number gets a source, period, definition, and calculation note.